
The DSCR Readiness Checklist

Get your rental deal lender-ready before you ever apply.

Most DSCR loan delays have nothing to do with the property. They come from paperwork the borrower could have had ready on day one. This checklist covers what a DSCR lender actually reviews, so you can walk in prepared and close on schedule.

First, what DSCR actually is

DSCR (debt service coverage ratio) is the property's monthly rent divided by the monthly payment: principal, interest, taxes, insurance, and any HOA dues (PITIA). A ratio above 1.0 means the rent covers the payment. The higher the ratio, the stronger the file. Lenders qualify the property's cash flow rather than your personal income, so you won't need tax returns or W-2s, and your day job never enters the math.

That's the appeal. It also means the review focuses almost entirely on things you can prepare in advance.

1. Your entity

DSCR loans are business-purpose loans made to entities, not individuals (individual borrowing is allowed only in certain states).

- ☐ Entity formed (LLC, corporation, partnership, or revocable trust; land trusts, irrevocable trusts, retirement accounts, and nonprofits don't qualify)
- ☐ Articles of Organization or Certificate of Formation, stamped by the Secretary of State
- ☐ Signed Operating Agreement showing all owners and their ownership percentages
- ☐ Certificate of Good Standing, dated within 90 days of closing
- ☐ Signed W-9 with the entity's tax ID
- ☐ If your Operating Agreement doesn't name who can sign for the entity, a signed resolution designating the authorized signer
- ☐ If a parent entity owns more than 20% of your borrowing entity, the same documents for that entity too

Pro tip: If you're forming a new LLC for the purchase, do it before you go under contract. Waiting on the state to process formation documents is one of the most common avoidable delays.

2. You, the guarantor

The entity borrows; you personally guarantee. Lenders review each guarantor's credit and background.

- ☐ Guarantor(s) own a meaningful stake in the borrowing entity (25% is a common benchmark)
- ☐ Credit unfrozen and ready for a tri-merge pull (a frozen bureau stalls the file on day one)
- ☐ Clean recent mortgage history: no missed mortgage payments in the last 12 months
- ☐ No foreclosure, short sale, loan modification, notice of default, or deed in lieu within the last 4 years
- ☐ Any bankruptcies discharged more than 4 years ago
- ☐ Open collections and charge-offs paid off (medical collections are typically disregarded)
- ☐ Judgments or tax liens resolved or payable at closing
- ☐ Valid government-issued photo ID
- ☐ Established credit depth: several active tradelines over the past 1 to 2 years (authorized-user accounts don't count)

3. Your cash

DSCR lenders verify you have the cash to close plus a cushion, typically covering down payment, closing costs, prepaid interest, and several months of payments.

- ☐ Two most recent bank statements, showing 60 days of consecutive history, all pages, no redactions
- ☐ Funds held in the borrowing entity's name or the guarantor's personal account, not in a friend's account or with a partner who isn't guaranteeing the loan
- ☐ Know what counts: checking, savings, and money market at full value; CDs slightly discounted; stocks and mutual funds counted at roughly half their balance
- ☐ Know what doesn't count: gift funds, retirement accounts (401k, IRA), unsecured loans, credit card advances, funds from anyone not guaranteeing the loan
- ☐ Using 1031 exchange funds? Have the exchange administrator's statement showing available funds, with names matching exactly

Pro tip: If a big chunk of your liquidity sits in a brokerage account, most lenders will count it at only about half its balance. Moving it to cash before you apply changes the math.

4. The property and its leases

For a **refinance** of a tenant-occupied property:

- ☐ Signed lease for every occupied unit (signed by both landlord and tenant, with term, rent amount, and property address)
- ☐ Lease term valid: initial term of at least 6 months, or month-to-month with history
- ☐ Proof of rent collection: at least two months of payments within the last 60 days (ledger, bank statements, or canceled checks)
- ☐ Tenants current on rent (delinquencies are a problem)

- ☐ If a property manager signed the lease, a fully executed property management agreement for that property
- ☐ New lease? Have the security deposit or first month's rent documented

For a **purchase**: leases and rent collection generally aren't required; the appraiser's market rent analysis drives the calculation. Just make sure the numbers you're underwriting are realistic market rents, not wishful ones.

Watch for lease types that kill eligibility: terms over 3 years, terms under 6 months, lease-purchase options, and corporate tenants.

5. Short-term rentals (Airbnb/VRBO)

STR income can qualify, but the bar is higher:

- ☐ 12 months of documented operating history (bank statements or listing-portal statements)
- ☐ Active listing on Airbnb or VRBO
- ☐ Solid year-round occupancy, verified by third-party reporting
- ☐ Expect the lender to use the *lesser* of your trailing 12-month actuals and a third-party projection (AirDNA). Your best month doesn't set the number
- ☐ Check local STR regulations. Properties in restricted markets may not be eligible

One quirk worth knowing: a 2 to 4 unit property mixing long- and short-term rentals gets underwritten entirely as long-term rentals, with STR units treated as vacant. Plan your numbers accordingly.

6. The five things that stall closings

1. **Insurance.** Get quotes early. You'll need a 12-month policy with coverage at or above the loan amount (or replacement cost), correct borrower name, and correct property address.
2. **Entity paperwork mismatches.** The name on your formation docs, W-9, insurance, and title must match exactly. "Smith Properties LLC" vs. "Smith Properties, LLC" causes real delays.
3. **The property showing as your address.** If the subject property appears as your residential address on your credit report or ID, expect problems. These are investment-property loans.
4. **Undisclosed litigation.** If you're party to a lawsuit, disclose it up front with an attorney statement. Discovered later, it disqualifies the file.
5. **ACH setup.** Payments run by ACH from an account owned by the entity or guarantor. Have a voided check or bank letter ready. An email with account numbers doesn't count.

Ready to run your numbers?

Five minutes with the rent and the payment tells you whether a deal pencils. When you have a property in mind, we'll review the deal and give you an answer within 24 hours.

Start your deal review: loans.fullstacklending.com